FINANCIAL WOES

Experts flag other issues too. "Before Covid, Go Air (the airline was rebranded Go First in May 2021) was profitable for eight to nine years and had a very modern fleet," says an aviation expert, not wanting to be named. But its attempts at an IPO—first in 2010, when it planned to raise Rs 400-500 crore, and later in July 2022, when it looked to garner Rs 3,600 crore—were deferred due to a dull market outlook. "They were unlucky. Had the IPO gone as per plan, things would have been different," the expert says. Covid dealt the second blow, grounding all airlines for months. Experts estimate that in the three financial years—2020-21, 2021-22 and 2022-23—Go First ran into Rs 4,000 crore losses. Plus, the airline had high exposure to bank loans, with its debt at Rs 6,251 crore from a consortium of lenders led by the Central Bank of India. In all, it owes around Rs 11,500 crore to financial institutions, lessors, vendors and passengers who paid for tickets in advance. The last straw was the grounding of its planes due to faulty engines. "This came in at a critical time for the airline. The last three quarters had been good for Go First, but it could not capitalise on the demand for flying thereafter," the expert adds. In 2021-22, Go First recorded its biggest losses at Rs 1,808 crore on a revenue of Rs 4,184 crore, the latter reportedly the lowest since 2018.

Kaushik Khona, CEO of Go First, has said that "there is no question of the Wadia Group having any intention to exit or move out". The promoters have committed almost Rs 6,400 crore to the company—roughly Rs 3,000 crore by way of security provided to public sector banks, and Rs 3,398 crore by way of equity infusion (Rs 1,593 crore) and promoter-arranged unsecured debt (Rs 1,805 crore). The airline could be looking for a solution that can help it resume operations, maybe getting a strategic partner, or at least getting more time from the creditors to pay off its dues.

IN 2021-22, GO FIRST RECORDED ITS BIGGEST LOSSES AT Rs 1,808 CRORE ON A REVENUE OF Rs 4,184 CRORE, THE LATTER REPORTEDLY THE LOWEST SINCE 2018

SYSTEMIC PROBLEMS

Some experts are of the view that the Indian aviation sector is clearly headed for the supremacy of two players—Air India (of the Tata Group) and IndiGo. In March this year, Indian carriers handled 12.8 million domestic passengers, which was a 21.4 per cent increase year on year. IndiGo was the market leader, increasing its domestic market share from 53.8 per cent in Q4FY22 to 55.7 per cent in Q4FY23. SpiceJet reported a fall in market share, from 10.2 per cent to 6.9 per cent, while Go First's share fell from 9.8 per cent to 7.8 per cent. Air India's market share fell from 9.9 per cent to 9 per cent, but AirAsia India, the Tata Group's second airline, increased its share from 5.8 per cent to 7.3 per cent, reports citing the DGCA stated. Akasa Air, the new entrant in the market, had a 3 per cent share of the domestic market in its nine months of operations. The NCLT has issued a notice to SpiceJet on a petition filed by Irish aircraft lessor Aircastle, which sought to initiate insolvency resolution proceedings against the carrier. SpiceJet has clarified that it did not have any Aircastle aircraft in its fleet and that the filing of the petition will in no way affect its operations. Two more petitions for insolvency resolution proceedings against SpiceJet are pending before the NCLT, say reports. The airline had nearly doubled its losses to Rs 1,725 crore in FY2022.

"Historically, there has been a serious undercapitalisation in the Indian aviation sector," says an aviation analyst. "IndiGo is an exception, with free and restricted cash of around Rs 20,000 crore. They fare relatively better. Air India has the Tata Group behind them. Akasa Air is relatively young," he says, adding that airlines need funds to be infused into them in time, not after a crisis, because then "you are throwing good money after bad". In these two principal players (Air India and IndiGo), "India will have a stable aviation system", according to him, but that will also see higher fares. "After years of low fares, consumers will have to pay slightly more. You may not get the kind of pricing you saw between 2005 and 2020," he adds. Already, airfares have risen on most routes following Go First cancelling its flights.

The other issue is the cost of running an airline in India. Fuel cost and direct and indirect taxes are pretty high, and have been so for 30 years. Indirect taxes account for almost 25 per cent of airline revenue. Domestic travel is particularly susceptible to fuel prices. According to a CAPA Advisory report, duties and taxes on domestic aviation turbine fuel (ATF) can add at least 60 per cent to international benchmark rates, worsened by the weakening rupee. "When Brent crude hit $120 a barrel in mid-2022, fuel accounted for 50 per cent of the operating costs (for airlines)," it said. India needs to overhaul the fiscal regime to make it conducive for airlines, argues the report. It suggests that ATF be brought under the GST framework with full input tax credit, wherein a firm can reclaim the tax paid on inputs that go into a product or service. The double taxation on re-import of aircraft, engines and components after maintenance conducted overseas needs to be removed. To bring in more safety standards to airline operations, CAPA advocates an independent and professionally-managed safety regulator.

The woes of Indian aviation are certainly not going to end with Go First. At a time when many considered that the worst may be over with the pandemic behind them, the long shadow of Covid will continue to haunt airlines. Adding to the pain are a host of systemic issues that need to be redressed at the earliest to stop other carriers from going the Go First way. ■